

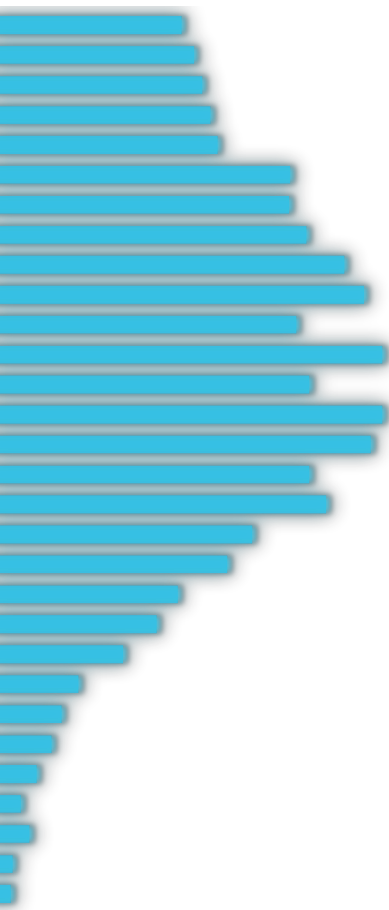


Mastering AMT/VP

AMT rules, day types, the Failed Auction setup, and the stats behind all three

SIRES ✕ ETHOS ORDER FLOW

THIS GUIDE • 27 PAGES • THE FAILED AUCTION SETUP • 2 NAMED STATS • FULL ES DATA APPENDIX



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What AMT actually is

a philosophy, not a strategy

Auction Market Theory does not tell you to buy or sell, and that is the first thing to unlearn coming from indicator-based trading. AMT tells you how buyers and sellers are actually interacting: where one side has strength, where the other is trapped, where aggression is missing entirely. Volume Profile and TPO are not order flow either, they are a visualization of AMT, a way of seeing where that interaction already happened. Order flow itself, the part that tells you whether to give a level leniency right now, comes from the DOM, the footprint, the orders actually arriving. AMT tells you where to look; order flow tells you whether to believe what you're looking at.

Lessons from the Ethos.

Basic rules of AMT:

ⓘ Vital knowledge and implementation must be learned from further trade breakdowns and daily recaps.

1.) *Understand the Current Auction*

2.) *Price 80% of the time stays in fair value*

3.) *Understand real extremes STOP USING VAH /VAL for levels*

The three rules, on the same board they get taught on: understand the auction, respect the 80/20 split, and stop trading VAH/VAL as if they were fixed levels.

04

Three rules

the ones worth actually applying

1. Understand the current auction. Before anything else, know whether price is inside balance or has already broken it, because the two states call for opposite behaviour. This sounds obvious until you're actually in a session and forget to check it.

2. Price stays in balance most of the time. Not all of it, roughly 80%, a figure this document tests against real published data later in the appendix. The other 20% is the auction failing, and failure is not rare, it's a fifth of every session, which is exactly why it gets its own setup two chapters from here.

3. Stop using VAH and VAL as levels. This is the rule beginners skip. Value Area High and Low are not fixed prices, they are outputs that move every time volume prints. Sell VAH blindly and VAH relocates above you as price consolidates there, because that consolidation is volume, and volume is exactly what VAH is built from. You are not trading a level, you are trading an indicator that recalculates against your own position.

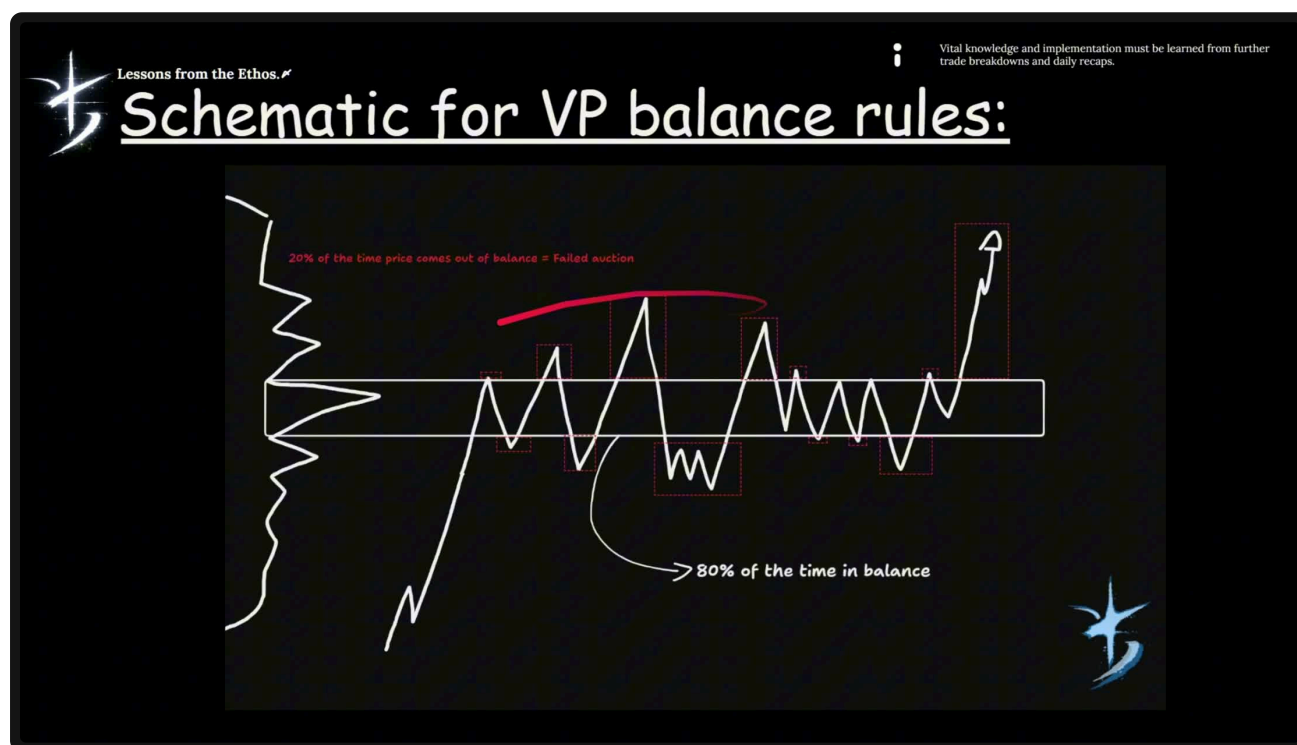
WHY THIS MATTERS MORE THAN IT SOUNDS

A beginner who enters short every time price tags VAH will get stopped out repeatedly, not because the read was wrong, but because VAH itself moved the moment price started consolidating there. The level was never the target, it was a snapshot of where volume had already been.

The balance rule in full

what POC, VAH and VAL actually are

Every balance has the same three landmarks. POC is the single price that traded the most, the peak of the volume profile. VAH and VAL are the upper and lower boundary of the area holding roughly 70% of that volume around the POC, the edges of where the market has actually agreed on fair value. Price does not wander evenly through this box. It spends about 80% of its time inside it, and the remaining 20% outside is exactly what a failed auction is: price stepping outside the agreed range and, four times out of five, stepping back in.



Every red box on this profile is a failed auction, a moment where price left the balance and the balance won anyway.

The number that matters more than the level

why a breakout deserves suspicion, not conviction

That 80/20 split is not a targeting tool by itself, it's the reason a breakout deserves suspicion before it deserves a trade. A move outside the box is the less likely outcome by a wide margin, which is exactly why the Failed Auction setup, a few pages from here, is built around what happens **after** the break, not the break itself. Trading every breakout as if it's automatically the start of something is the same mistake as trading VAH blindly, just wearing a different name.

This is also why day type matters, covered next: a P day or B day tells you the balance already resolved once, which changes how much weight a fresh breakout deserves. A D day tells you it hasn't, which is a different setup entirely.

This read only gets faster live in the room, where the balance and the break are the same argument every session.

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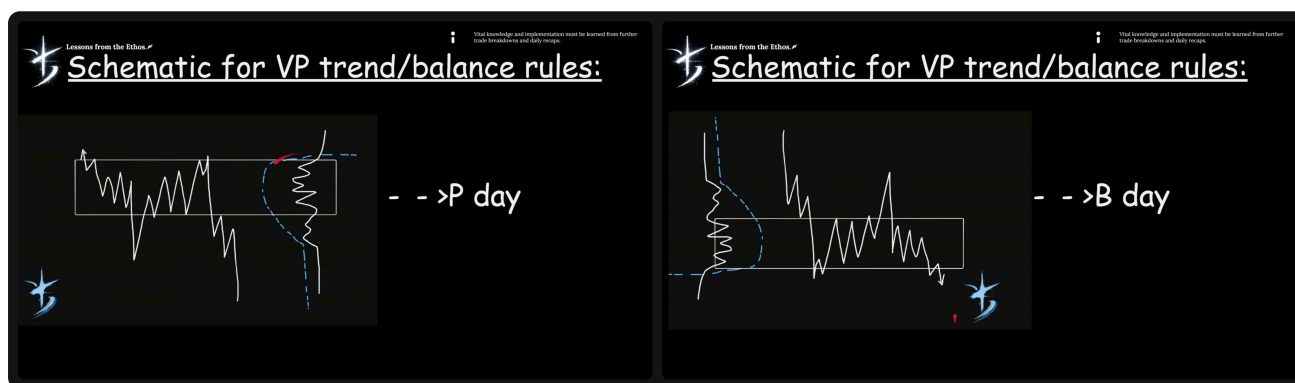
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Reading the shape of a day

three shapes, one profile

He calls them dealing ranges. Once a session's volume settles into a shape, that shape has a letter, and the letter is shorthand for which side actually won the argument that day.

A **P day** has its bulk of volume sitting toward the top of the balance, a fat head with a thin tail hanging below it, and it resolves with price breaking down out of the bottom. A **B day** is the mirror of it, volume concentrated toward the bottom, resolving higher.

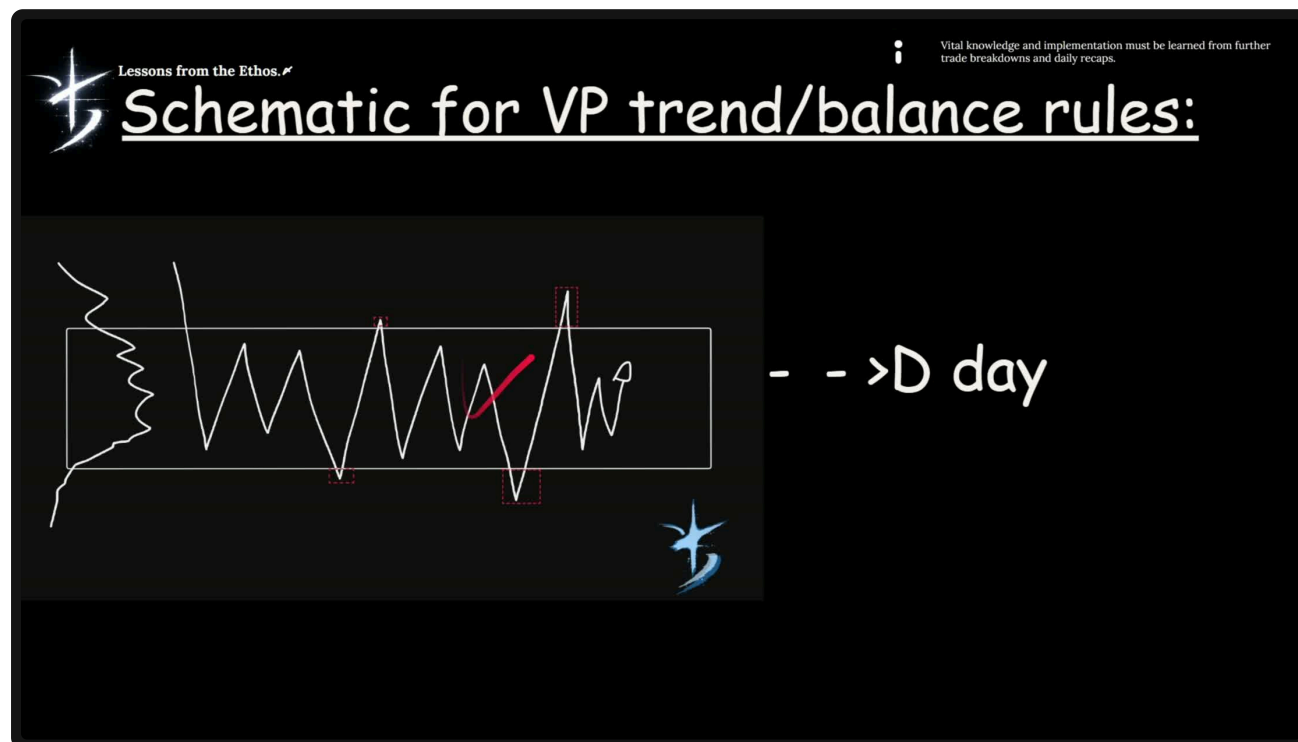


P day on the left, B day on the right. The letter is where the volume built before the break; the break is which side actually spent more time defending it.

The third shape

a D day is neither, and that's the point

A **D day** is neither a P nor a B: the profile stays compact and centred, price tests both edges of the box and never commits, pure compression with no resolution at all.



A D day: the profile stays compact, price tests both edges and neither side commits.

None of the three is a trade signal on its own. A P or B day tells you a session has already resolved directionally, which changes how much leniency the opposite side deserves for the rest of it. A D day tells you the market genuinely has not decided yet, which is information too, just a different kind.

The Failed Auction setup

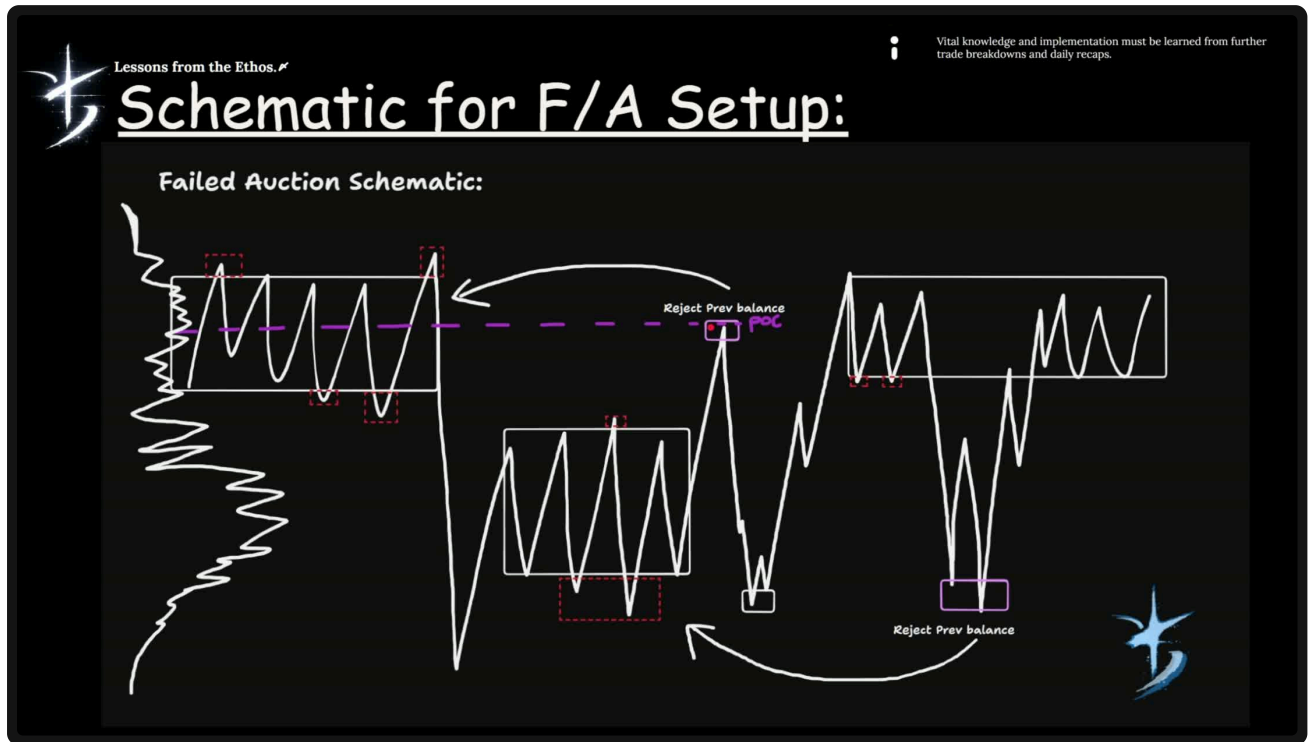
not every break of balance is the setup

Every red box on the balance schematic a few pages back is technically a failed auction: price left the range and came back. That is the general case, and it happens on its own roughly one time in five. The Failed Auction **setup** is a specific, narrower version of it, and confusing the two is the most common mistake beginners make with this concept.

The setup requires balance, a break out of it, and then price actually travelling to and tagging a **prior** balance, an older one, at its POC. When it hits that prior POC and instantly rejects, refusing to accept it, there is an 80% statistic behind what happens next: price travels back to the boundary of the balance it broke from in the first place, its established balance. Reject from above a prior POC and the target is that established balance's VAH. Reject from below and the target is its VAL.

The setup, both directions

balance, break, tag, reject



Both directions of the same setup. Balance, break, tag the prior balance's POC, reject, and the established balance gets its boundary hit four times out of five.

The live version of this read, spotted in real time before the reject happens, is what actually gets taught inside sessions.

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Which one is the real setup

the same test from the video

Two real NQ charts, both showing a break of balance followed by a return to a grey zone. Only one is an actual Failed Auction setup. Cover the answer below and decide first.

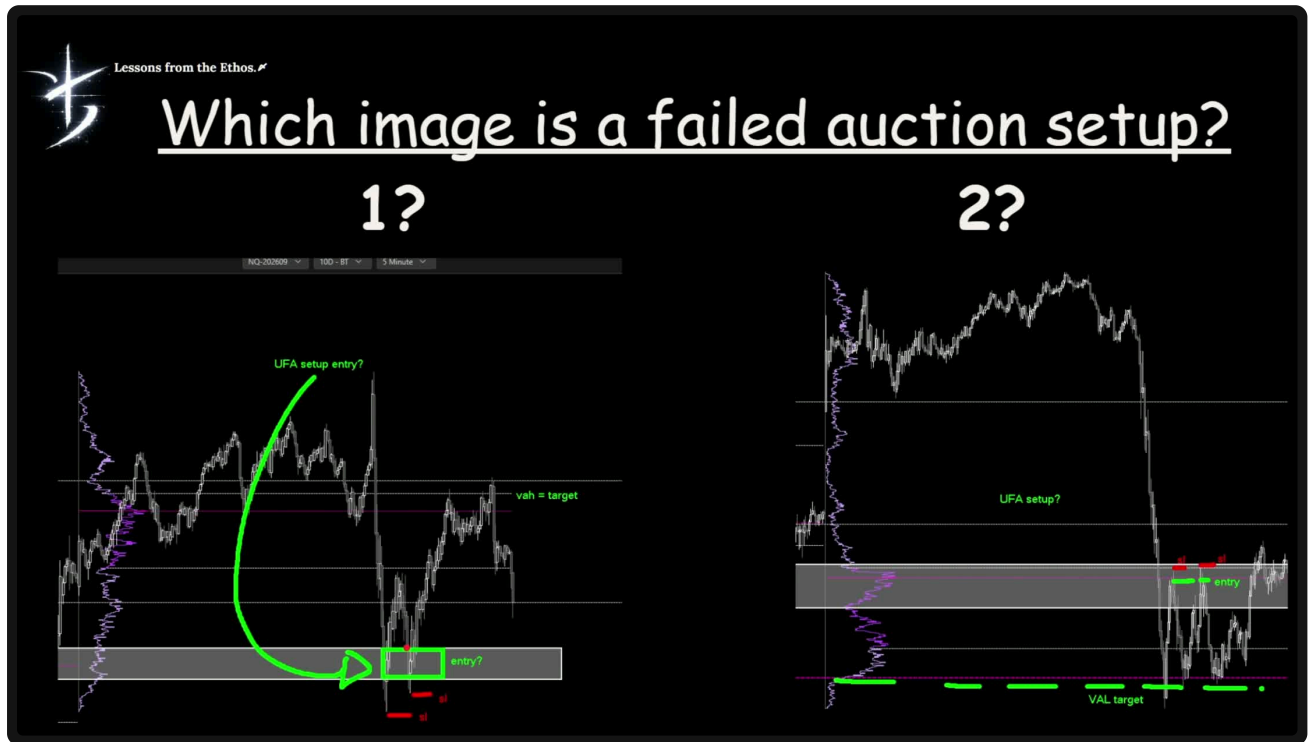


Chart 1 on the left, chart 2 on the right. Same visual grammar, and only one of them is the setup from the last chapter.

THE ANSWER

Chart 1 is correct. Balance, break, a tag of the prior balance's white box, an instant rejection, and an entry back toward VAH as target. Chart 2 fails the definition even though it looks similar: price does break balance and does retest a grey zone, but it never tags a **prior** balance and rejects there, it simply breaks down, keeps going, and the retest is a trend continuation entry, not a failed auction. Same visual grammar, opposite trade, which is exactly why the setup needs its full definition and not just "price came back to something."

Reading it on a real chart

breakout, retest, and which side to trust

On a real composite profile the same balance mechanics turn into three repeatable entries. Break out of balance and retest the broken boundary: enter in the direction of the break, long on a retest of a broken-up level, short on a retest of a broken-down one. Come back inside the balance and re-accept it: the bias flips, now you're fading back toward the other side. Traverse straight through the whole balance without holding: that's one side fully priced in, and every retest from there trades with that side until proven otherwise.



The same balance box, the same three entries, marked on a real composite session. Every short in this range only worked because the higher timeframe had already broken and re-tested downward.

Filtering a lower timeframe signal

with a higher one

A 15-second chart will hand you a level and a direction constantly. The higher timeframe is what tells you whether to believe it. If a lower timeframe short level fires but the higher timeframe shows you're still inside balance near its lower boundary, buyers are the side statistically likely to defend there, so that short gets less leniency, not more, even though the lower timeframe looks clean. The auction context outranks the trigger.

This is the same discipline as the Failed Auction setup itself: a signal that looks clean on its own timeframe still has to survive contact with the higher timeframe auction before it earns any leniency at all.

Filtering signals like this in real time, on the live tape, is the actual daily work inside Ethos.

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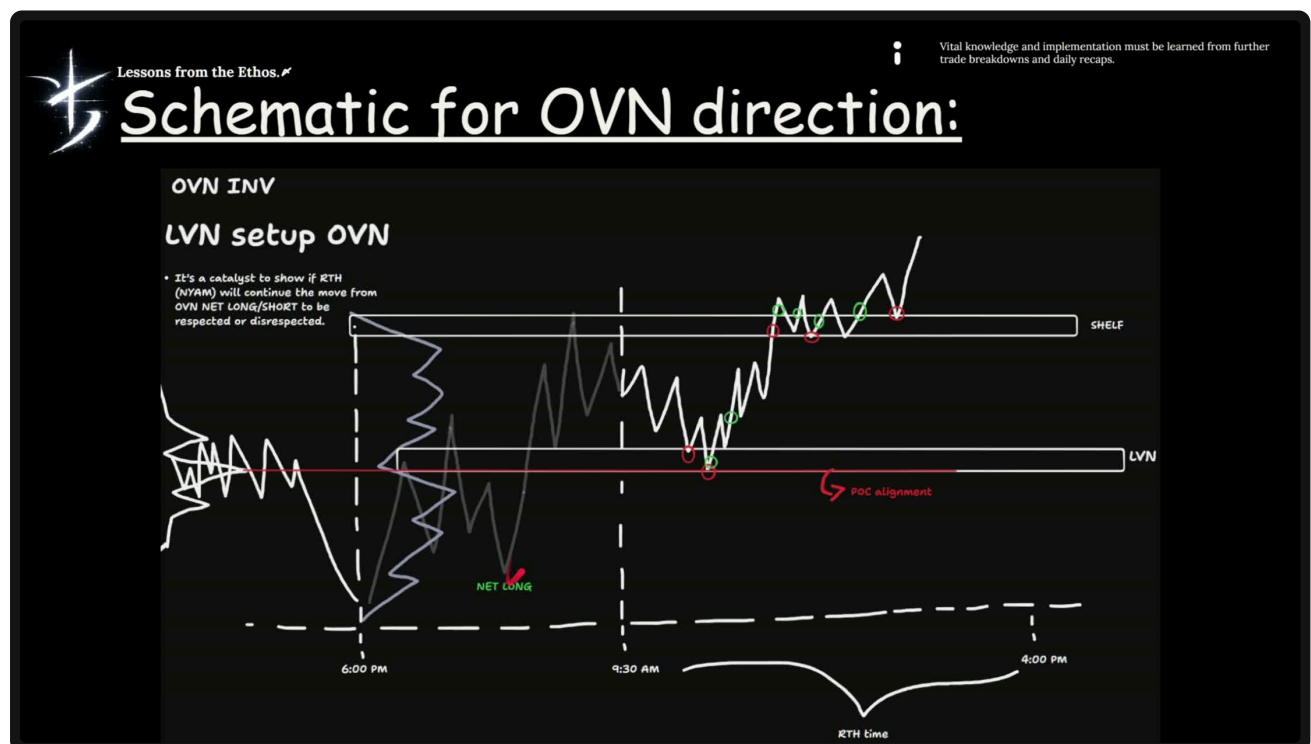
What overnight inventory tells you

6pm to 9:30, and who's actually net

Overnight inventory is the second half of Volume Profile most beginners skip entirely. From 6pm the previous day to 9:30am New York open, a lot of real size moves, banks closing out positions before the volatility of the open arrives. Whether price nets long or short across that window matters because it tends to carry into the open: net long overnight, the path of least resistance at 9:30 is higher, net short, it's lower, purely because of how much aggression already sits on one side of the tape.

Respected or disrespected

The tool for judging whether that overnight bias survives the open is the low volume node inside the overnight profile, drawn from 6pm to 9:30. One clean distribution and the net environment usually just continues. A double distribution and the low volume node between the two humps becomes the decision point, the level that gets "respected" if the open continues the overnight direction, or "disrespected" if it doesn't. The overnight shelf reads the same way: hold it and price likely stays inside the overnight range, break it with real aggression and price is more likely heading back to test the overnight extreme.



Net long from 6pm. The shelf and the LVN both hold on the way into RTH, and the overnight bias survives the open.

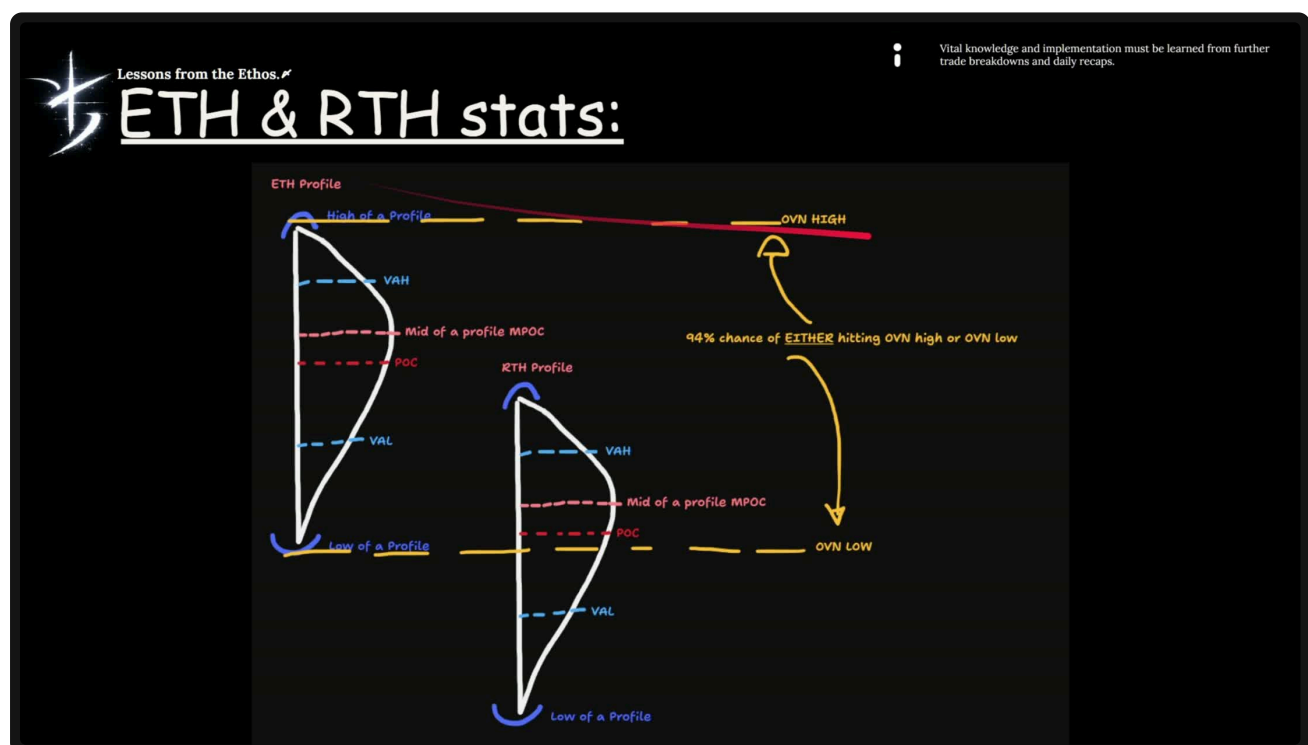
The stats inside a profile

the data points, and the honest limit on using them

Every profile, ETH or RTH, has the same landmarks: the high, the low, VAH, VAL, POC, and the mid of the profile, labelled MPOC here. These are not the edge itself, they are areas of targeting, and there's an explicit caveat worth repeating exactly as given: these stats are not meant to be the main objective of an edge on their own, and they only mean anything once you already understand AMT on the higher timeframe. Used blind, without that context, they're just numbers.

94%

There is a 94% chance of price touching either the overnight high or the overnight low during the current session. Used correctly, that number is a reason to **not** take a trade rather than a reason to take one: if a long level sits a few points above the overnight low with a tight stop underneath it, and there's a 94% chance price still trades down to tag that overnight low first, the level isn't wrong, the timing is.

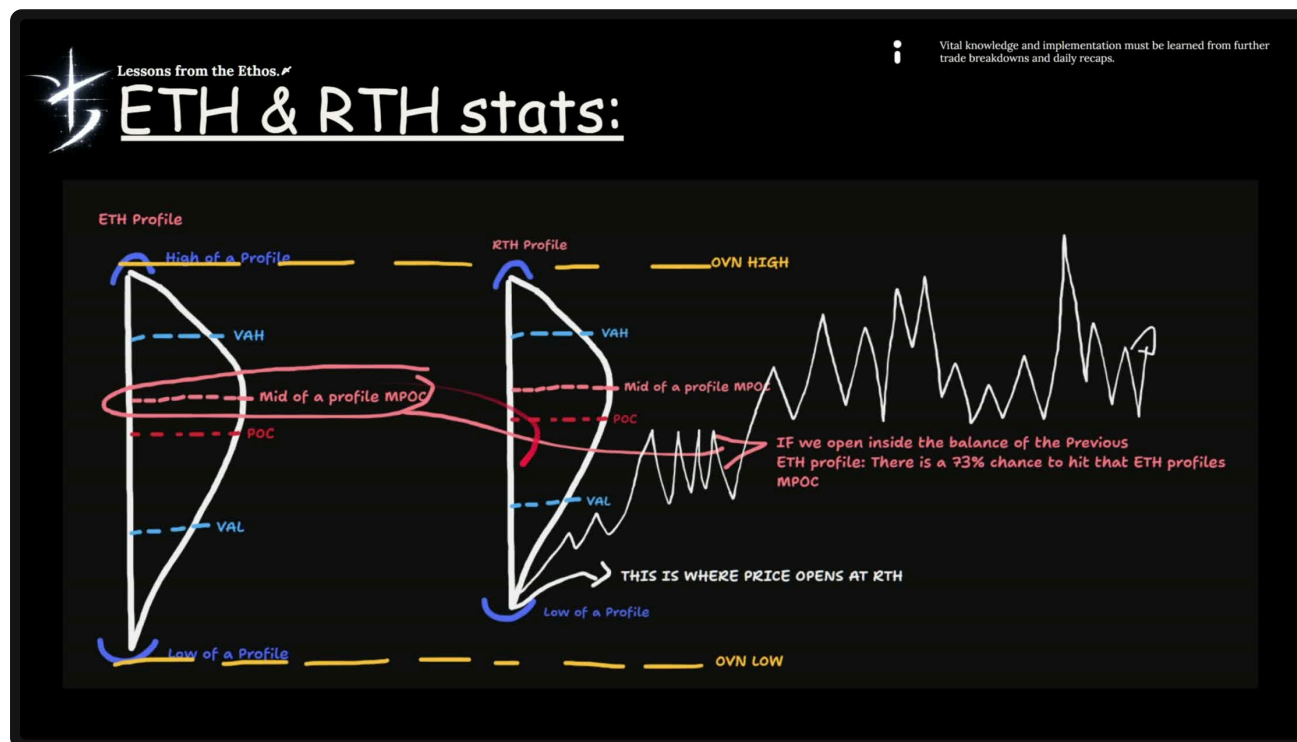


94% chance of either, not both. The number says the level probably gets touched before it gets rewarded.

Opening inside yesterday's balance

73%

If the RTH session opens inside the previous ETH profile's balance, there is a 73% chance of the session going on to hit that ETH profile's MPOC, its mid. If you're already long from inside that balance, this is a reason to hold and trail rather than take the first easy target at VAL, because the statistical pull toward the profile's mid is real and it's not marginal.



Open inside the previous ETH balance, and the pull toward that profile's own mid shows up 73% of the time.

How stable is this, really

a claim worth being skeptical of, on principle

Worth stating plainly: even across five, twenty or fifty years of data, these if-then statistics apparently hold within one to three percent of each other. That is a genuinely strong claim, and also exactly the kind of claim worth being skeptical of by default until you've tested it yourself, which is the honest position this document takes on every stat in it, including the ones in the appendix that follows.

The next chapter goes further than "trust the source": what the actual published research says about the day-type taxonomy, the 80% rule, and gap-fill statistics, including where the numbers are solid and where they're repeated more confidently than they're sourced.

None of these numbers replace testing them yourself on your own instrument and your own sample. The mentorship is built around doing exactly that, live.

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What the wider research actually says

the real day-type taxonomy is bigger than four

Peter Steidlmayer, who built Market Profile at the CBOT in the early 1980s, originally classified sessions into six day types, not four: non-trend, normal, normal variation, trend, neutral, and running trend neutral, based on how the first hour's range compared to what followed it. The four-category table used in this document, Trend Day, Neutral Extreme, Neutral Day, Normal Day, is a real simplification of that original taxonomy, and it's a defensible one. Six buckets is a classification system; four is a decision you can actually make in real time. The tradeoff is coarser resolution for a faster read, which is the right trade for live trading and the wrong trade for academic classification.

the 80% rule has a real, narrower definition

The "80% rule" gets repeated constantly in Market Profile material, almost always in the loose form used earlier in this document: price stays in balance about 80% of the time. The actual, specific rule that circulates under that name is narrower: if price opens above or below the previous day's value area, then trades back inside it for two consecutive 30-minute periods, there is an 80% chance it goes on to trade completely through the entire value area to the other side. That's a real, testable claim with real preconditions, not a generic restatement of "balance holds most of the time." It's commonly linked back to Dalton Capital Management's Profile Reports from the late 1980s, though tracing it to a specific published study is harder than the amount it gets quoted would suggest, worth knowing before leaning on the number.

What the wider research actually says

initial balance range extension: a real effect, thinly sourced numbers

The Initial Balance, the first hour's range, is genuinely predictive of where the rest of the session goes: a close outside the IB is commonly cited at 65 to 75% likely to see continuation in that direction, and a failed excess move back inside the IB at a similar 70 to 75% likelihood of trading the other side. Those figures show up across a lot of practitioner material with almost no citations behind them, repeated because they sound right and nobody's disputed them loudly, not because there's a public dataset backing the exact number. What is independently documented, from CME Group's own research, is that roughly 68% of a day's price action falls within one standard deviation of that session's POC, the same shape of claim the standard-deviation bands in the appendix ahead are built on.

gaps do not all fill the same way

Roughly 70 to 75% of gaps eventually fill, but that number hides the part that actually matters: small gaps under about 0.5% fill same-session around 65% of the time, gaps over 1% fill same-session only around 35% of the time and are more likely to keep running in the gap's direction. Down gaps fill slightly more often than up gaps, 62% against 59%. And directly relevant to this instrument: a recent systematic study testing gap-fill signals specifically on Micro Nasdaq futures found the fade failed at every entry time tested, no consistent edge, as likely to continue as to reverse. The honest read is that gap-fill statistics that look solid on ES do not automatically transfer to NQ, and that's worth remembering every time a stat in this document, or anywhere else, gets applied to the wrong instrument.

This is the same standard every read gets held to inside the mentorship: what's actually tested, on this instrument, not what sounds right.

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The ES Probability Statistics Report

six tables and eight distributions, restyled

What follows is the full statistics report referenced through this document, on E-mini S&P 500 futures across four contracts, ESH, ESM, ESU and ESZ, 1,040 sample days from 2021 to 2024. Restyled here for the page, not the numbers: every figure that follows is exactly as reported.

CONTRACT SPECIFICATIONS

Sample days: 1,040. RTH session: 06:30 to 13:00 PST. IB session: 06:30 to 07:30 PST.
Settlement: financial. Expirations: standard quarters.

Auction Type

	ESH	ESM	ESU	ESZ
Trend Day	24.11%	29.25%	24.11%	20.95%
Neutral Extreme	17.79%	15.81%	10.67%	9.49%
Neutral Day	12.25%	11.86%	11.86%	9.09%
Normal Day	23.72%	22.13%	26.09%	31.62%

Trend Day, a one-timeframe auction where the market continues to seek new value in one direction without reversing, price discovery extends beyond IBx2, confirming strong imbalance and directional intent. **Neutral Extreme Day**, a rotational day where price exceeds both the IBH and IBL and settles near an extreme of the range, very powerful, often continuation in direction of the extreme, binary events often display as neutral. **Neutral Day**, the market auctions efficiently in both directions, breaching IBH and IBL but finding fair value within the IB range. **Normal Day**, fair value is established early as IB containment limits further exploration, minimal range extension, typically in low-volatility environments or before major events.

Opening location and overnight touches

where does the market open, and does it come back overnight

Opening Location, relative to the previous day's RTH session

	ESH	ESM	ESU	ESZ
Opens Above P.Close (Gap)	53.41%	54.09%	57.59%	53.13%
Opens Above pHOD (Session Gap)	24.50%	26.07%	21.79%	21.88%
Opens Below P.Close (Gap)	45.78%	44.36%	42.41%	45.70%
Opens Below pLOD (Session Gap)	19.68%	14.79%	15.56%	12.89%
Opens Within pIB	23.60%	22.18%	26.07%	33.59%
Opens Within P.Value	32.53%	33.85%	36.19%	37.11%

Overnight Session Levels, touched during the current RTH session

	ESH	ESM	ESU	ESZ
ONH & ONL Touched	20.16%	23.75%	22.22%	23.85%
ONH or ONL Touched	92.49%	95.40%	94.64%	95.00%
ONH Touched	60.47%	61.69%	64.75%	62.31%
ONL Touched	52.17%	57.47%	52.11%	56.54%
ONVAH Touched	75.10%	74.33%	78.16%	78.85%
ONVAL Touched	70.75%	74.71%	68.58%	71.54%
ONVPOC Touched	90.12%	86.21%	87.74%	90.00%

If it opens outside the previous range

gap up, and inside yesterday's range

Opens Above Previous Range, gap up

	ESH	ESM	ESU	ESZ
1/2 Gap of pHOD Touched	24.50%	26.07%	21.79%	21.88%
pClose Touched (Closes Gap)	12.45%	12.84%	10.51%	10.55%
pHOD Touched (Closes Session Gap)	17.27%	18.29%	14.79%	14.45%
pIBH Touched	7.23%	10.12%	8.56%	9.38%
pIBL Touched	2.01%	5.06%	3.50%	4.30%
pLOD Touched	2.01%	4.67%	2.72%	3.13%
pOpen Touched	0.80%	4.28%	3.89%	2.34%
pVAH Touched	11.24%	13.62%	11.67%	11.72%
pVAL Touched	4.02%	5.45%	4.28%	5.08%
pVPOC Touched	8.43%	8.17%	8.95%	8.59%

Opens Within Previous Range

	ESH	ESM	ESU	ESZ
pClose Touched	53.82%	53.70%	57.59%	55.08%
pHOD Touched	28.51%	27.63%	38.52%	26.95%
pIBH Touched	34.54%	38.52%	46.30%	37.50%
pIBL Touched	33.60%	37.74%	34.24%	43.75%
pLOD Touched	22.89%	27.63%	23.35%	30.08%
pOpen Touched	28.92%	29.96%	30.74%	34.38%
pVAH Touched	40.56%	42.02%	47.86%	42.19%
pVAL Touched	33.33%	38.91%	34.24%	44.14%
pVPOC Touched	38.96%	36.96%	43.97%	43.75%

Gap down, and the Initial Balance

the other side of the open, and whether the IB holds

Opens Below Previous Range, gap down

	ESH	ESM	ESU	ESZ
1/2 Gap of pLOD Touched	19.68%	14.79%	15.56%	12.89%
pClose Touched (Closes Gap)	7.23%	4.67%	5.45%	6.64%
pHOD Touched	0.80%	0.78%	1.17%	3.13%
pIBH Touched	3.21%	1.17%	2.33%	3.52%
pIBL Touched	6.83%	4.67%	5.06%	6.25%
pLOD Touched (Closes Session Gap)	12.85%	10.12%	9.34%	7.81%
pOpen Touched	4.82%	1.95%	3.89%	4.69%
pVAH Touched	2.41%	1.56%	1.95%	3.91%
pVAL Touched	6.83%	6.61%	6.61%	6.64%
pVPOC Touched	4.82%	3.89%	3.89%	5.47%

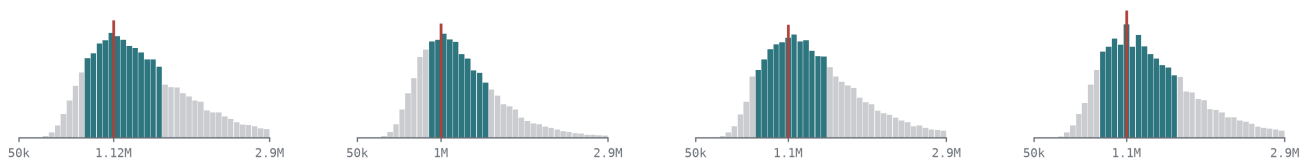
Initial Balance (IB)

	ESH	ESM	ESU	ESZ
At Least One IB Broke	98.81%	99.62%	96.55%	98.08%
Both IB Broke (Neutral Day)	35.97%	31.80%	25.29%	22.31%
IB Range Remains Within pIB Range	6.43%	4.28%	3.11%	7.03%
Neither IB Broken	1.19%	0.38%	3.45%	1.92%
Only IBH Broken	34.39%	36.78%	38.70%	39.23%
Only IBL Broken	28.46%	31.03%	32.57%	36.54%
Opens in pIB, Breaks pIB Within IB	17.27%	17.90%	22.96%	26.56%
Opens in pIB, Breaks pIB Within RTH	22.09%	22.18%	26.07%	32.42%
Closes Above IBH (Single IB Break)	23.32%	27.59%	29.12%	25.38%
Closes Below IBL (Single IB Break)	18.97%	19.54%	21.46%	25.77%

24 Volume (RTH)

where session volume actually clusters, per contract

Regular Trading Hours volume distribution for each ES contract over the same 1,040 samples, 260 per contract. Petrol bars mark the first standard deviation range around the mode, the red line is the mode itself; the grey tails are everything outside that band. Shape is illustrative of the reported mode and range, the mode line and the standard-deviation band are exact.

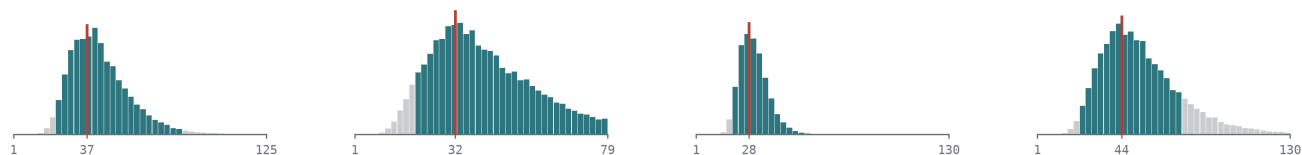


Contract	Bin size	Mode	1st std dev
ESH	50,000	1,125,000	800,000 to 1,655,000
ESM	50,000	1,000,000	860,000 to 1,550,000
ESU	50,000	1,100,000	712,000 to 1,540,000
ESZ	50,000	1,100,000	810,000 to 1,690,000

25 Range (RTH)

the daily range that actually shows up, per contract

RTH range distribution for each contract, same 1,040 samples. Same reading as the volume charts: mode marked in red, first standard deviation shaded in petrol.



Contract	Bin size	Mode	1st std dev
ESH	1.00 pt	37.00 pt	22.00 to 85.00 pt
ESM	1.00 pt	32.00 pt	20.00 to 79.00 pt
ESU	19.00 pt	28.00 pt	19.00 to 75.00 pt
ESZ	1.00 pt	44.00 pt	24.00 to 76.00 pt

The full breakdown of how to actually build a session plan around tables like these is walked through live inside the mentorship.

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The whole lesson, one checklist

every rule in this document, printable

BEFORE YOU TRADE A BREAK

- ☐ I know whether price is inside balance or has already broken it.
- ☐ I'm not using VAH or VAL as a fixed level, they move as volume prints.
- ☐ I know today's day type isn't decided yet, and that's fine, a D day is a real outcome.

THE FAILED AUCTION SETUP

- ☐ Balance, break, and a tag of a PRIOR balance's POC, not just any retest.
- ☐ An instant rejection at that POC, not acceptance of it.
- ☐ The target is the established balance's own VAH or VAL, not an arbitrary level.

BEFORE THE OPEN

- ☐ I've checked whether the market is net long or net short overnight.
- ☐ I've checked whether the LVN or shelf is being respected or disrespected.

USING THE STATS

- ☐ I'm using these as targeting context, not as the whole edge on their own.
- ☐ I know which contract and instrument a stat was actually measured on before I apply it.

One philosophy. A lot of ways to misread it.

This document is the model on paper: the balance rule, the day types, the Failed Auction setup with its real definition, overnight inventory, and the honest limits on every stat that claims to help. None of it replaces watching it live, where the balance and the break are the same argument happening in real time, session after session.

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One-time. Live sessions, daily recaps, and everything in this document applied in real time.

If the Failed Auction setup on page nine looked obvious once it was labelled, that's the point, and also exactly why the quiz on page eleven exists.

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Companion reading: How a Professional Trades the NY AM Open, and The Last Trade Before an \$18k Payout, both free at kanji.org.uk.